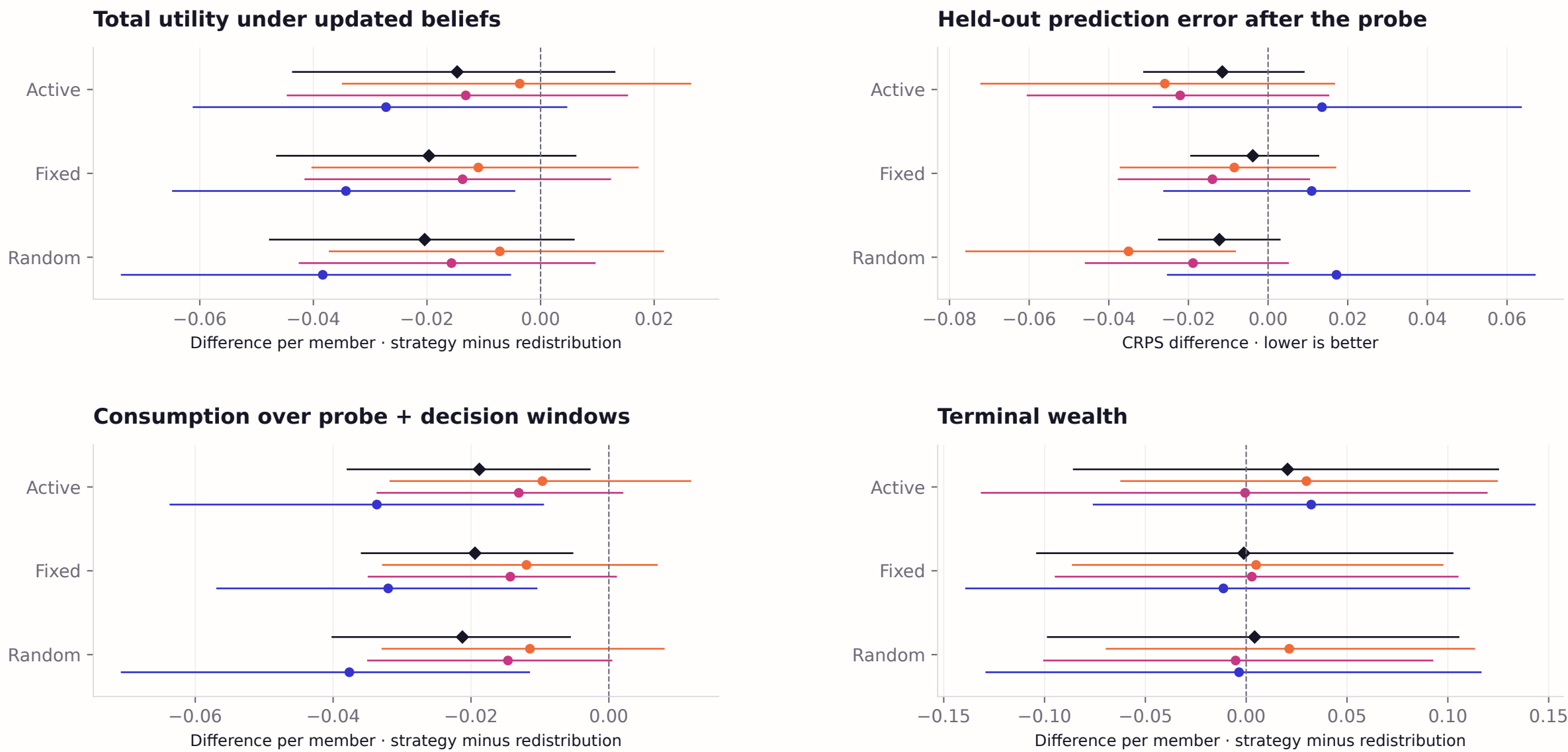


What does investing the escrow change?

Paired contrasts against redistributing B · this baseline is outside the matched-investment comparison



Investing and redistributing B create different physical paths. Both use updated beliefs and receive the same reporting opportunities.

These contrasts include both material and learning effects. Better prediction or more terminal wealth need not increase consumption.